

# The Human-AI Partnership Framework

Where human judgment belongs

## Tax Strategy-to-Compliance

PCF 9.9 — Tax planning & processing — Value Stream Profile

This value stream comprises one APQC PCF process group: 9.9 Manage Taxes — spanning 2 Level 3 processes and 10 Level 4 activities, PCF 9.0's second-smallest value stream by L3 count.

At the activity level, this value stream's work breaks down as 7 Transaction activities and 3 Knowledge activities. No Document-, Decision-, or Exception-pattern activity exists within this value stream — the narrowest pattern spread in PCF 9.0.

At M3 (HITL Design Intent), the value stream's aggregate human-involvement ratio is 47%, down from a 71% undesigned baseline — a 24-point AI convergence opportunity.

| L3 PROCESSES | L4 ACTIVITIES | M1 BASELINE H% | M3 DESIGN INTENT H% | Δ M1 → M3   |
|--------------|---------------|----------------|---------------------|-------------|
| <b>2</b>     | <b>10</b>     | <b>71%</b>     | <b>47%</b>          | <b>-24%</b> |

### KPIs

| Business Impact Metric & Formula (where confirmed)                                                                                  | Source                    |
|-------------------------------------------------------------------------------------------------------------------------------------|---------------------------|
| <b>Effective tax rate (ETR)</b><br><i>Total tax provision ÷ pre-tax book income</i>                                                 | Thomson Reuters Institute |
| <b>On-time filing rate</b><br><i>% of required tax returns and filings submitted by statutory due date across all jurisdictions</i> | Thomson Reuters Institute |
| <b>Tax cost ratio</b><br><i>% of finance operating cost dedicated to tax planning, compliance, and reporting activity</i>           | APQC OSB                  |

### Design Narrative

Tax Strategy-to-Compliance is PCF 9.0's second Strategy-tier value stream: 9.9.1 (Develop tax strategy and plan) is CFO's own strategy-formation L3, mirroring Plan-to-Perform's CFO-owned apex rather than duplicating it — the two streams' Executive-scope L3s address distinct strategy domains (financial-resources strategy vs. tax strategy) even though both route through the same CFO role, a direct consequence of Finance's role catalog concentrating all domain strategy under one Executive rather than splitting it across peers the way IT does. Tax Manager then holds Accountable for the stream's entire compliance-execution half (9.9.2) — return preparation, deferred-tax calculation, and compliance monitoring across every jurisdiction the strategy L3 sets direction for. At just 2 L3s and 10 activities, this is PCF 9.0's second-smallest value stream, smaller only than Acquire-to-Retire. Its steepest AI-absorption opportunity sits in 9.9.1.3 (Maintain tax master data, Transaction-pattern, -25 points) — the shallowest steepest-gap of any PCF 9.0 value stream, reflecting how much of tax work retains a Knowledge-pattern judgment component even at the activity level.

### AI Capability Map

Pattern-type distribution across this value stream's activity units. H% figures are the pattern type's standard value at each maturity level, applied consistently across all PCF domains.

|                                                                                                                                                                             |                                                                                                                                      |                                                                                                                                                                  |                                                                                                                                |                                                                                                                                                                      |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Decision</b><br><i>Judgment &amp; Authority — gates that stay human by design</i><br><b>0 L4 activities</b><br><i>No activities of this pattern in this value stream</i> | <b>Knowledge</b><br><i>Synthesis &amp; Interpretation — judgment-driven work</i><br><b>3 L4 activities</b><br><i>M1 85% → M3 65%</i> | <b>Document</b><br><i>Content Generation — drafting and communication</i><br><b>0 L4 activities</b><br><i>No activities of this pattern in this value stream</i> | <b>Transaction</b><br><i>Rules-Based Processing — suited to automation</i><br><b>7 L4 activities</b><br><i>M1 60% → M3 35%</i> | <b>Exception</b><br><i>Non-Standard Resolution — human-resolved by nature</i><br><b>0 L4 activities</b><br><i>No activities of this pattern in this value stream</i> |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------|

### Process Accountability

| Process Accountability | Tier              | L3 Processes | L4 Activities |
|------------------------|-------------------|--------------|---------------|
| CFO                    | <b>Executive</b>  | 9.9.1        | 3             |
| Tax Manager            | <b>Managerial</b> | 9.9.2        | 7             |

## **Handoff Points**

Tax Strategy-to-Compliance opens with CFO-accountable strategy formation (9.9.1) — setting foreign, national, state, and local tax strategy and consolidating the total tax plan.

That strategy hands entirely to Tax Manager for compliance execution (9.9.2) — preparing returns, calculating deferred taxes, and monitoring compliance — closing the stream before its outputs feed Time-to-Pay's payroll-tax processing (9.5.3) and Global Trade & Currency's duty/trade-preference calculations, both of which route through the same Tax Manager role.

## **Governed Decision Points**

*No Decision- or Exception-pattern activity in this value stream — every step here is Knowledge, Document, Transaction, or Mixed without an embedded Decision/Exception component.*

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